actions at present *hamper* competition.

Policymakers must constantly use the power of the state to prise open closed systems, to create conditions of extreme competition, and to see the bright side of firm failure. The prolonged survival of a weak firm, based on artificial life support, induces negative externalities upon healthy firms. The exit of these ‘zombie firms’ is a positive for the economy. It is likely that business cycle downturns will be shorter, once the bankruptcy process is fully in place.

The Indian economy features the coexistence of high-productivity firms that abide by laws with low-productivity firms that violate laws. When law enforcement improves, and weak firms exit, GDP growth will be obtained through reallocation of labour and capital.

Creative destruction is not alien to India: for small firms, it is the everyday reality. It is only with the large firms, and the areas connected with government, where competitive dynamics is poor.